

MODULE 5

PROMOTION

OVERVIEW:

After finding out what products or services the customers need, these are produced accordingly. The next concern will be how to inform the customers that such products or services are available. The task of informing the customers, however is coupled with the task of persuading them to buy from the company. This activity falls under the task of promotions.

Most successful company are engaged in promotions, one way or another. Some firms use it extensively while others only superficially. In any case, the small business operator must know what promotion is and how it can help him achieve his sales and profit objectives.

Promotion aims to stimulate demand for a company's goods or services. Promotional strategy is designed to inform, persuade, or remind target audiences about those products. The goals of promotion are to create awareness, get people to try products, provide information, keep loyal customers, increase use of a product, identify potential customers, and even teach clients about potential services.

LEARNING OUTCOMES:

After successful completion of this module, you are able to:

- A. Explain the different kinds of promotion
- B. Describe the goal of promotion
- C. Discuss the methods of promotion and strategy
- D. List the elements of promotion

COURSE MATERIALS:

PROMOTION DEFINE

Promotions refer to the entire set of activities, which communicate the product, brand or service to the user. The idea is to make people aware, attract and induce to buy the product, in preference over others.

GOAL OF PROMOTION

1. Creating awareness: All too often, firms go out of business because people don't know they exist or what they do. Small restaurants often have this problem. Simply putting up a sign and opening the door is rarely enough. Promotion through ads on **social media platforms and local radio or television, coupons in local papers, flyers,** and so forth can create awareness of a new business or product.

2. Getting consumers to try products: Promotion is almost always used to get people to try a new product or to get nonusers to try an existing product. Sometimes **free samples** are given away. Lever, for instance, mailed over two million free samples of its Lever 2000 soap to targeted households. **Coupons and trial-size containers of products** are also common tactics used to tempt people to try a product. **Celebrities** are also used to get people to try products.

3. **Providing information:** Informative promotion is more common in the early stages of the product life cycle. An **informative promotion** may explain what ingredients (for example, fibre) will do for a consumer's health, describe why the product is better (for example, high-definition television versus regular television), inform the customer of a new low price, or explain where the item may be purchased.

4. **Keeping loyal customers:** Promotion is also used to keep people from switching brands. Slogans such as Campbell's soups are "M'm! M'm! Good!" and "Intel Inside" remind consumers about the brand. Marketers also remind users that the brand is better than the competition. Firms can also help keep customers loyal by telling them when a product or service is improved.

5. **Increasing the amount and frequency of use:** Promotion is often used to get people to use more of a product and to use it more often. The most popular promotion to increase the use of a product may be frequent-flyer or -user programs.

6. **Teaching the customer:** For service products, it is often imperative to actually teach the potential client the reasons for certain parts of a service. In services, the service providers work with customers to perform the service. This is called "co-creation."

THE PROMOTIONAL MIX

The combination of traditional advertising, personal selling, sales promotion, public relations, social media, and e-commerce used to promote a product is called the promotional mix. Each firm creates a unique promotional mix for each product. But the goal is always to deliver the firm's message efficiently and effectively to the target audience.

These are the elements of the promotional mix:

- **Traditional advertising:** Any paid form of nonpersonal promotion by an identified sponsor that is delivered through traditional media channels.
- **Personal selling:** A face-to-face presentation to a prospective buyer.
- **Sales promotion:** Marketing activities (other than personal selling, traditional advertising, public relations, social media, and e-commerce) that stimulate consumer buying, including coupons and samples, displays, shows and exhibitions, demonstrations, and other types of selling efforts. This includes freebies, contests, discounts, free services, passes, tickets and so on, as distinct from advertising, publicity and public relations
- **Public relations:** The linking of organizational goals with key aspects of the public interest and the development of programs designed to earn public understanding and acceptance. Public relations can include lobbying, publicity, special events, internal publications, and media such as a company's internal television channel.
- **Social media:** The use of social media platforms such as Facebook, Twitter, Pinterest, Instagram, and various blogs to generate "buzz" about a product or company. The skills and knowledge needed to generate information as well as to defend the company against problems (such as as incriminating videos "going viral") are separate skills from those related to traditional advertising. Even promotional strategies such as paying celebrities to wear a specific line of clothing and posting these images on Twitter or

Instagram (a form of advertising) requires different types of planning and expertise than traditional advertising.

- **E-commerce:** The use of a company's website to generate sales through online ordering, information, interactive components such as games, and other elements of the website. Website development is mandatory in today's business world. Understanding how to develop and utilize a website to generate sales is imperative for any marketer.

BENEFITS OF PROMOTION

- **Increase brand awareness** - With the help of various media like the television, billboards, radio or local newspaper news, you can spread across information about your brand and company, which helps people to find out more about you and look into your products and make purchases.
- **Segment Identification** - If your promotional and marketing strategy is loosely structured, it might not be successful in targeting the "right" audiences. Having a full-proof and well-thought-out promotional strategy and marketing plan can help you identify different segments of consumers in the market and offer suitable.
- **Increasing customer traffic** - Promotion also helps in increasing customer traffic. The more you promote your brand, the more will the customers know about you and your company and the more will they be interested in your products. Promotion can be done even by giving out free samples which work wonders for customers! They try your product and ultimately, come to you and make purchases.

REASONS WHY PROMOTIONAL ACTIVITIES ARE NECESSARY FOR BUSINESS PROMOTION

1. To Provide Information to Customers about New Products/services

When a company comes in the market with its new products/services, it has to deal with several challenges. People love to buy from trusted brands that have already captured the market.

2. Creating a Positive Image of the Company

Therefore, it is very important for all companies to have a positive image in the eyes of existing and potential buyers. A company with a good image is praised by customers on different forums, helping it to get more business opportunities.

3. Easy Dissemination of information About the Advantages of Goods

So, as a hard core business entrepreneur, you should initiate promotional activities and make people aware of the importance and advantage of using your products and services. Only then, you will be able to generate the desired sales and leads.

4. **Sales Promotion** - Participate in product exhibitions, contests, lotteries, coupons, loyalty programs, prizes, free samples, demonstrations, etc, to send business messages to customers easily and quickly and grow the business volume.

5. **Create an Easily Recognizable Logo for Your Business**- As a matter of fact, a beautifully created logo attracts the attention of people, let them know about the main business activities of a particular company and identify it easily in the crowd of several companies.

6. Frequent Communication with Clients & Customers

We all know the huge importance of frequent communication with clients and customers. Always keep in mind all customers are not fully aware of the importance of your products/services. So, through promotional activities, you can communicate with your

clients/customers frequently, solve their problems instantly and sell more products and services every day.

7. Further Expansion of Your Business

Different promotional activities lay the foundation for the further expansion of your business. For example- you can give free times to customers to make them feel special and they love to buy from your frequently. It also helps you to gain more customers and business opportunities easily and effortlessly.

IMPORTANCE OF PROMOTION

Promoting your brand will help you in many different ways:

- **Increase brand awareness** - Promotions help in creating brand awareness. With the help of various media like the television, billboards, radio or local newspaper news, you can spread across information about your brand and company, which helps people to find out more about you and look into your products and make purchases.
- **Segment Identification** - If you're promotional and marketing strategy is loosely structured, it might not be successful in targeting the "right" audiences. Having a full-proof and well-thought-out promotional strategy and marketing plan can help you identify different segments of consumers in the market and offer suitable solutions for your clients.
- **Increase Customer Traffic** - Also, promotion helps in helps in increasing customer traffic. The more you promote your brand, the more will the customers know about you and your company and the more will they be interested in your products. Promotion can be done even by giving out free samples which works wonders for customers! They try your product and ultimately, come to you and make purchases.
- **Build sales and profits** - Promotional material gives customers more of an incentive to purchase, if they can purchase your product or service from many different sources, why should they chose you? You need to answer this within your promotions i.e. with our product you will receive a free fitting or extra warranty etc... This will build your profits and give you a worthy edge over your competitors.
- **Quick decision making** - Limited availability offers can create a sense of urgency in your customers that get them to act. When combined with new content that helps customers clearly see the benefits of what you are promoting, you can create compelling reasons to buy now.
- **Strengthens the focus on marketing** - Developing a promotion calendar will encourage you to plan for new marketing programs focused at specific times of year. If you don't have a dedicated marketing team doing this for you already, you should consider creating a promotions plan this will ensure frequency in your overall marketing schedule.

TYPES OF ADVERTISING

a. **Newspaper advertising** can promote your business to a wide range of customers. Display advertisements are placed throughout the paper, while classified listings are under subject headings in a specific section.

b. **Magazine Advertising** in a specialist magazine can reach your target market quickly and easily. Readers (your potential customers) tend to read magazines at their leisure and keep them for longer, giving your advertisement multiple chances to attract attention. Magazines

generally serve consumers (by interest group e.g. women) and trade (industry/business type e.g. hospitality). Magazines do not usually serve a small area such as a specific town. If your target market is only a small percentage of the circulation, then advertising may not be cost-effective.

c. **Radio Advertising** on the radio is a great way to reach your target audience. If your target market listens to a particular station, then regular advertising can attract new customers. However, sound has its limitations. Listeners can find it difficult to remember what they have heard and sometimes the impact of radio advertising is lost.

d. **Television advertisements** have the advantage of sight, sound, movement and colour to persuade a customer to buy from you. They are particularly useful if you need to demonstrate how your product or service works.

Producing a television advertisement and then buying an advertising slot is generally expensive. Advertising is sold in units (e.g. 20, 30, 60 seconds) and costs vary according to:

- the time slot
- the television program
- whether it is metro or regional
- if you want to buy spots on multiple networks

e. **Directories** - list businesses by name or category (e.g. Yellow Pages phone directories). Customers who refer to directories have often already made up their mind to buy - they just need to decide who to buy from.

f. **Outdoor and transit** there are many ways to advertise outside and on-the-go. Outdoor billboards can be signs by the road or hoardings at sport stadiums. Transit advertising can be posters on buses, taxis and bicycles. Large billboards can get your message across with a big impact. If the same customers pass your billboard every day as they travel to work, you are likely to be the first business they think of when they want to buy a product. Even the largest of billboards usually contain a limited amount of information; otherwise, they can be difficult to read. Including your website address makes it easy for customers to follow up and find out more about your business. Outdoor advertising can be very expensive especially for prime locations and supersite billboards.

g. **Direct mail, catalogues and leaflets** - Direct mail means writing to customers directly. The more precise your mailing list or distribution area, the more of your target market you will reach. A direct mail approach is more personal, as you can select your audience and plan the timing to suit your business. A cost effective form of direct mail is to send your newsletters or flyers electronically to an email database. Find out more about direct mail.

Catalogues, brochures and leaflets can also be distributed to your target area. Including a brochure with your direct mail is a great way to give an interested customer more information about your products and services. Learn more about leaflet marketing using letterbox drops and hangouts.

h. **Online** - Being on the internet can be a cost-effective way to attract new customers. You can reach a global audience at a low cost. Many customers research businesses online before deciding whom to buy from. Other ways to advertise your business online include promoting your products or services on social media sites, blogs and search engines and other websites that your target audience visits. Find out more about social media.

SALES PROMOTION DEFINE

Sales promotion is the practice of offering sale prices and other incentives to customers. It is often coordinated with marketing activities such as advertising, promotion, sales targets, channel management and visual merchandising. The following are common types of sales promotion.

TYPES OF SALES PROMOTION

Sale prices such as a percentage discount.

- **Volume Discount** such as buy two get one free.
- **Freebies** Free items with a purchase such as a free baseball cap with a purchase of a meal.
- **Contests** such as prize giveaways.
- **Coupons** are one way to implement price discrimination as price sensitive customers will be more willing to look for coupons.
- **Loss Leaders** selling an item at an exceptionally low price to attract customers to a location.
- **Upgrades & Premiums** Free upgrades such as more memory in a mobile device.
- Terms temporarily offering improved terms such a telecom company that offers unlimited bandwidth on new contracts for a limited time.
- **Free Trials** Allowing customers to try a service risk free for a period of time.
- **Free Samples** such as a trial size of a new product that is given out to create brand awareness.
- **Loyalty Programs** offering double or triple points on a loyalty program for a period of time.
- **Trade Allowances Discounts** given to distribution partners such as retailers to encourage them to stock up on your product. In many cases, this is done in conjunction with advertising to support sales.
- **Dealer Loader** A dealer loader is a reward that is given to retailers to buy a minimum amount or to install in-store displays.
- **Push Money** Extra commissions for salespeople and distribution partners to increase sales volume

Publicity involves conveying information and generating awareness about products and services to the general public or target audiences through various media.

SIX COMMON TYPES OF PRESS RELEASES:

1. **General News** -This is the most common type of press release. The idea behind a general news release is to generate traditional coverage in online and offline media. While ideally the topic in the release should be newsworthy, sometimes the definition of “newsworthy” can be stretched a bit. For example, a press release can be sent out when your company wins an award or contest.

2. **Launch Release** - A launch press release relates to the release of a new company, product, website, initiative or something similar. The format of this press release is similar to a general news release, but with more of an emphasis on timeliness. A launch release should help create a sense of urgency about the upcoming news.

A launch press release doesn't even have to be about something tangible. Instead, you can launch an idea. Recently, the Democratic Party launched a new economic platform called a "Better Deal." While this isn't a physical object you can hold in your hand, many media outlets still devoted a lot of (virtual) ink to discussing the concept.

3. Event Press Release - Most press releases are written with members of the media as the initial audience. An event press release is a little different. This type of press release needs to clearly explain the details of an event. The goal is to have the event specifics printed in the media so the general public can learn about them.

4. Product Press Release -Releasing a new product? Let the world know with a product press release. This has a similar format to a launch press release. The main difference is that a product press release contains product specs.

5. Executive, Staff and Employee Press Release -Large companies typically announce new hires, especially those in high levels of management, in a press release. A press release of this genre often includes fairly extensive biographical information about the new hire. At least one photo of the person should be included, too.

6. Expert Position Press Release -This is a type of press release used to establish an individual's or brand's credibility in a particular field. The idea is to position the person or company as a go-to source of information to be contacted by the media at some point in the future. An expert position press release provides a general introduction as well as some type of third-party verification of expertise.

Positive result of word-of-mouth

- Competent employee
- Proper treatment of people
- Not overcharging
- Not using false claims in advertising
- Keeping promises to customers
- Having a good product or services
- Keeping customers happy



READ:

Azarcon, Areola, Arguelles, Pablo-Barlis et al. Entrepreneurship Principles and Practices. First Edition. 2005, Valencia Educational Supply.

Carson, David. Marketing and Entrepreneurship in SME's: An innovative Approach First Edition. 2002. Pearson Education.

Lambing, Peggy A.: Entrepreneurship. Third Edition, 2002. Prentice Hall.

Medina, Roberto G. Entrepreneurship in Small Business Management. First Edition. 1996. Rex Printing Company. Inc.

Vaughn, Donald E. Financial Planning for the Entrepreneur. First Edition. 1997. Prentice Hill.

Activities Assessment:

Answer the following questions briefly on your own words.

1. A newly opened café has high-quality products but very few customers.
 - What promotional strategies can help create awareness?
2. A company relies only on social media ads but ignores personal selling and PR.
 - What are the limitations of this approach?
3. A supermarket offers "Buy 1 Take 1" deals during weekends.
 - What type of sales promotion is this, and what is its objective?
4. A brand sends regular discounts and reward points to repeat buyers.
 - How does this strategy help in customer retention?
5. A local business wants to target senior citizens in a specific community.
 - Which advertising medium is most effective and why?
6. A company organizes a charity event and gains positive media attention.
 - How does this improve the company's image?
7. An online store uses its website to offer discounts, games, and interactive content.
 - What type of promotional tool is this?
8. A new shampoo brand distributes free samples in malls.
 - What promotion goal does this strategy achieve?
9. A store advertises "Limited Time Offer – Today Only!"
 - How does this influence customer decision-making?
10. Customers recommend a restaurant because of excellent service and quality food.
 - Why is word-of-mouth considered powerful promotion?